

The Regional Specialization Trade-off

Hertford MCR Academic Soirée

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- **This paper:** Role of regional specialization in explaining economic fortunes
 1. How does regional specialization affect **regional growth**?
 2. What is the **optimal** regional specialization?

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Empirics: Document novel **specialization trade-off** in U.S. regional growth since 1950

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- Optimal regional specialization in 1950 raises expected average income by 1.2-2.2%

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⇒ Measuring Regional Growth = per capita income growth over time

⇒ Measuring Specialization = concentration of economic activity across industries

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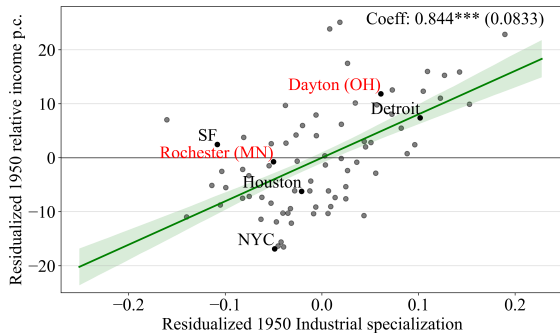


Figure 1: 1950 Income level

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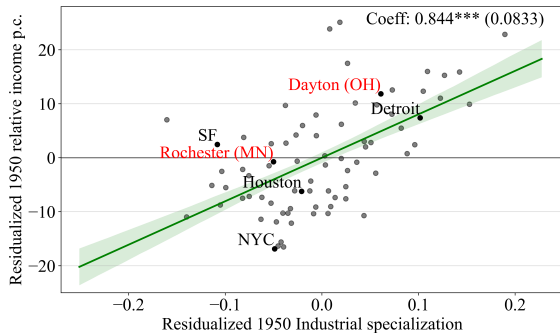


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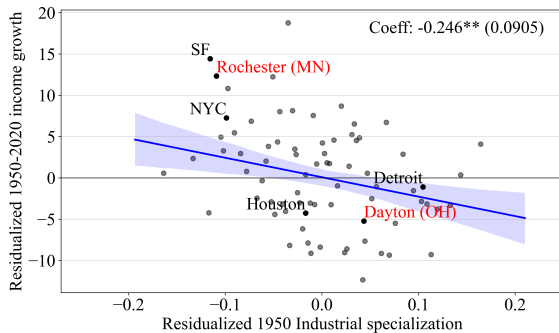


Figure 2: 1950-2020 Growth

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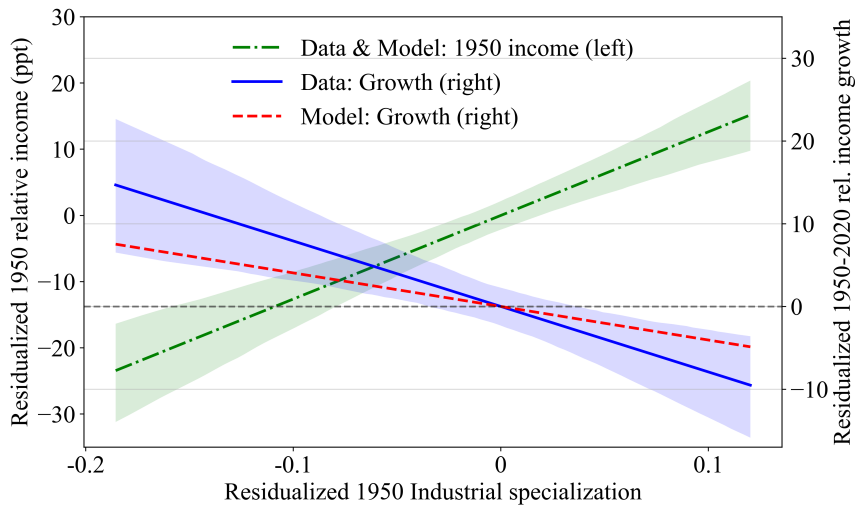
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- **Theoretical take-away:**
 - ⇒ Specialization is a double-edge sword
 - Makes regions more productive
 - Makes regions more vulnerable to industry-specific events
- **Quantitative take-away:**
 - ⇒ This 'simple' theory rationalizes ~50% of observed U.S. regional growth
 - ⇒ Is there room for policy to optimize industrial portfolios? (*Not covered today*)
 - *Preview:* Yes, sometimes. Using industry-specific taxes/ subsidies.

Thank you very much!

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